

PRESS RELEASE
AUDITED FINANCIAL STATEMENTS
30 JUNE 2016



Mumias Sugar Company Limited
Audited Financial Statements
For the year ended 30th June 2016

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2016

	2016	2015
	Shs'000	Shs'000
Revenue	6,285,917	5,531,357
Cost of sales	(8,040,339)	(7,191,569)
Gross loss	(1,754,422)	(1,660,212)
Fair value gain on biological assets	64,649	25,521
Other income	55,902	95,166
Marketing and distribution costs	(103,918)	(388,354)
Administrative expenses	(2,125,735)	(2,934,414)
Impairment of assets	(1,388,856)	(870,247)
Interest income	59,381	143,039
Finance costs	(874,382)	(717,756)
Loss before tax	(6,067,381)	(6,307,257)
Tax income	1,336,355	1,662,456
Loss for the year	(4,731,026)	(4,644,801)
Other comprehensive income		
<u>Items that will not be reclassified subsequently to profit or loss:</u>		
Surplus on revaluation of property, plant and equipment	9,183,849	-
Deferred tax relating to surplus on revaluation of property, plant and equipment	(2,755,155)	-
Re-measurement of defined benefit obligations	91,530	(92,800)
Deferred tax relating to re-measurement of defined benefit obligations	(27,459)	27,840
Other comprehensive income for the year, net of tax	6,492,765	(64,960)
Total comprehensive income/(loss) for the year attributable to shareholders	1,761,739	(4,709,761)
Earnings per share	Shs	Shs
Loss per share - basic and diluted	(3.09)	(3.04)

Mumias Sugar Company Limited
Audited Financial Statements
For the year ended 30th June 2016

STATEMENT OF FINANCIAL POSITION AT 30TH JUNE 2016

	2016 Shs'000	2015 Shs'000
EQUITY		
Share capital	3,060,000	3,060,000
Revaluation surplus	7,093,105	1,955,580
Retained earnings	(2,459,322)	916,464
Total equity	7,693,783	5,932,044
Non-current liabilities		
Borrowings	6,961,892	725,139
Deferred income tax	1,492,428	55,255
Provision for service gratuity	26,166	4,724
Deferred grant income	18,420	45,811
	8,498,906	830,929
	16,192,689	6,762,973
REPRESENTED BY		
Non-current assets		
Property, plant and equipment	24,781,689	17,645,961
Intangible assets	130,045	110,780
Non-current staff receivables	31,145	49,458
Retirement benefit asset	164,829	57,700
	25,107,708	17,863,899
Current assets		
Inventories	489,811	741,233
Biological assets	104,285	116,259
Trade and other receivables	1,049,001	1,533,876
Current tax recoverable	150,403	158,954
Cash at bank and in hand	117,519	18,759
	1,911,019	2,569,081

Mumias Sugar Company Limited
Audited Financial Statements
For the year ended 30th June 2016

Current liabilities

Trade and other payables	8,029,333	7,630,451
Borrowings	2,312,067	5,569,017
Provision for service gratuity	44,941	29,093
Unclaimed dividends	<u>439,697</u>	<u>441,446</u>
	<u>10,826,038</u>	<u>13,670,007</u>
Net current liabilities	<u>(8,915,019)</u>	<u>(11,100,926)</u>
	<u>16,192,689</u>	<u>6,762,973</u>

Mumias Sugar Company Limited
Audited Financial Statements
For the year ended 30th June 2016

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30TH JUNE 2016

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1st July 2014	3,060,000	3,071,442	4,510,363	10,641,805
Changes in equity in 2015				
Loss for the year	-	-	(4,644,801)	(4,644,801)
Other comprehensive loss for the year	-	-	(64,960)	(64,960)
Transfer of excess depreciation (net of deferred tax)	-	(1,115,862)	1,115,862	-
At 30th June 2015	3,060,000	1,955,580	916,464	5,932,044
At 1st July 2015	3,060,000	1,955,580	916,464	5,932,044
Changes in equity in 2016				
Loss for the year	-	-	(4,731,026)	(4,731,026)
Other comprehensive income for the year	-	6,428,694	64,071	6,492,765
Transfer of excess depreciation (net of deferred tax)	-	(1,291,169)	1,291,169	-
At 30th June 2016	3,060,000	7,093,105	(2,459,322)	7,693,783

Mumias Sugar Company Limited
Audited Financial Statements
For the year ended 30th June 2016

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30TH JUNE 2016

	2016	2015
	Shs'000	Shs'000
Cash flows from operating activities		
Loss for the year	(4,731,026)	(4,644,801)
Adjustments for:		
Income Tax expense	(1,336,355)	(1,662,456)
Gain on fair value of biological assets	(64,649)	(25,521)
Decrease of biological assets due to harvest at cost	173,695	164,338
Depreciation of property, plant and equipment	1,201,140	1,221,817
Amortisation of intangible assets	4,081	18,641
Loss on disposal of property, plant and equipment	2,740	-
Exchange difference on collateral deposit	-	(12,973)
Foreign exchange gains on borrowings	60,595	204,640
Loss on impairment of intangible assets	-	30,359
Impairment of property, plant and equipment	949,860	-
Increase in provision for service gratuity	37,290	8,629
Increase in retirement benefit asset	(15,598)	(25,100)
Interest income	(59,381)	(143,039)
Interest and financial charges	<u>934,977</u>	<u>922,396</u>
Operating loss before working capital changes	(2,842,631)	(3,943,070)
Decrease in:		
Non-current receivables	18,313	59,522
Inventories	251,422	404,179
Trade and other receivables	484,875	1,019,872
Increase in:		
Trade and other payables	<u>398,882</u>	<u>2,674,055</u>
Cash (used in)/generated from operations	(1,689,139)	214,558
Interest income	59,381	143,039
Interest and financial charges	(934,977)	(922,396)
Income tax paid	(535)	(61)
(Utilisation of)/proceeds from grants	<u>(27,391)</u>	<u>26,983</u>
Net cash used in operating activities	<u>(2,592,661)</u>	<u>(537,877)</u>
Cash flows from investing activities		
Additions of biological assets at cost	(97,072)	(97,724)
Purchase of property, plant and equipment	(116,528)	(48,548)
Purchase of intangible assets	(12,558)	(3,608)
Proceeds on disposal of property, plant and equipment	<u>120</u>	<u>-</u>
Net cash used in investing activities	<u>(226,038)</u>	<u>(149,880)</u>
Cash flows from financing activities		
Proceeds from long-term borrowings	2,628,049	18,302
Dividends paid	<u>(1,749)</u>	<u>(3,855)</u>
Net cash generated from financing activities	<u>2,626,300</u>	<u>14,447</u>
Net decrease in cash and cash equivalents	(192,399)	(673,310)
Cash and cash equivalents at start of year	<u>(2,002,149)</u>	<u>(1,328,839)</u>
Cash and cash equivalents at end of year	<u>(2,194,548)</u>	<u>(2,002,149)</u>

Mumias Sugar Company Limited
Audited Financial Statements
For the year ended 30th June 2016

BASIS OF PREPARATION

The condensed financial statements for the year ended 30 June 2016 have been prepared in accordance with International Financial Reporting Standards and audited by RSM Eastern Africa.

SUGAR INDUSTRY

The financial year just ended and forecasts going forward are characterised by continued decrease in Kenya's sugar production, mainly due to cane shortage, as cane farmers in Western Kenya move to produce other crops ostensibly due to low returns from cane farming. Cane production in Kenya continues to be hampered by poor crop husbandry, low access to affordable inputs, poor transport infrastructure and delayed payments to farmers.

Most of the state-owned sugar mills are operating below capacity and are burdened by obsolete milling technology and huge debts leading to locally produced sugar remaining uncompetitive in the COMESA region mainly because of the high cost of production. COMESA safeguards have been extended for another 2 years and the Government of Kenya (GOK) is in the initial stages of the anticipated sugar mills privatization program, which is expected to revitalise the sector. This will provide a better operating environment for execution of the turnaround strategy.

RESULTS OVERVIEW

During the financial year ended 30th June 2016 the Company posted a loss after tax of Kshs 4,731 million (2015- Kshs 4,645 million), representing a 2% decline. This loss was mainly attributable to an acute shortage of quality cane particularly in the fourth quarter.

PERFORMANCE AT A GLANCE

Area under Cane (HA)		Area Planted (HA)		Cane Crushed (M Tonnes)		Sugar Made (Tonnes)		Net sugar price/Tonne (Kshs)		Ethanol Produced (M Litres)		Marketing Distribution & Admn Costs- (Kshs)	
CY	PY	CY	PY	CY	PY	CY	PY	CY	PY	CY	PY	CY	PY
42,000	38,697	3,364	3,229	1.2	1.1	75,073	70,891	67,923	64,029	12.4	10.3	2.5M	3.3M
+8.5%		+4.2%		+9.4%		+6%		+6%		+20%		-26%	
													

CY-Current year 2015/16; **PY**-Previous year 2014/15

OPERATIONS

Following receipt of the GOK bailout funds and limited factory maintenance undertaken in July & August 2015, the Company operated relatively smoothly and was on course to realizing the planned cane diffusion targets, factory time efficiencies (FTE), sugar recoveries (Rendement) and all related financial targets.

However, the acute cane shortage experienced in quarter 4 saw the sugar production and recoveries heavily curtailed negating the benefits gained in the earlier quarters of the year. The cane shortage was largely due to widespread cane poaching.

The Company processed 1,215,566 metric tonnes of sugar cane which is 9.4% higher than the previous year (2015 – 1,111,473). Sugar production increased by 6% to 75,073 metric tonnes (2015 – 70,891 MT) at a recovery rate of 6.2% (2015 - 6.38%), while ethanol production increased by 20% to 12,367,072 litres (2015 - 10,311,773 litres). Sugar and ethanol revenues increased by 10% and 37% to Kshs. 5,097 million and Kshs 1,057 million, respectively.

Mumias Sugar Company Limited
Audited Financial Statements
For the year ended 30th June 2016

During the year, water production was discontinued because the water business was no longer deemed viable. The company did not export any power to the national grid (2015 – 14,692 MWH) due to ongoing commercial re-negotiations with the KPLC.

Total revenues increased by 13.6% to Kshs 6.3 billion (2015 - Kshs 5.5 billion) due to higher Sugar and Ethanol sales volumes and realization of higher net sugar prices and improved brand mix.

Total overhead costs (inclusive of asset impairment of Kshs 1.39 billion) decreased by 9% to Kshs 4.5 billion. Marketing, Distribution and Administration costs alone decreased by Kshs 1.1 billion, a reduction of 33% compared to previous year.

REVALUATION SURPLUS

During the year, the company revalued some of its non-current assets (mainly factory plant and equipment and leasehold land) in accordance with the company's policies and the requirements of IAS 16, resulting in a revaluation surplus of **Kshs 9.2 billion**.

OUTLOOK

The world sugar market is currently experiencing a deficit due to declining sugar production in the main sugar producing countries, impacting positively on the global sugar price and the COMESA region. The price of sugar locally has also increased and is forecast to remain stable, noting that Kenya has negotiated a two-year extension of the COMESA safeguards, due to expire in February, 2019. The extension has given a lifeline to the local sugar industry.

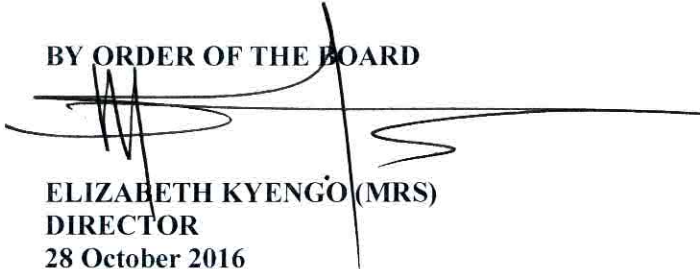
The Company is implementing a turnaround strategy with the support of the lenders and shareholders, particularly the Government. In addition to financial support by the Government, as the anchor shareholder, the company is negotiating a debt restructuring with the lenders. The company is also streamlining its internal operations with a view to optimizing resource utilization and improving efficiencies. Key initiatives undertaken include rehabilitation of the factory, improved capacity utilization of the ethanol plant, staff restructuring for higher productivity, accelerated cane development and enhanced engagement with cane farmers.

The Board of Directors view the Company's outlook as positive and that the ongoing initiatives will stabilize and revitalize the Company.

DIVIDEND

The directors do not recommend payment of a dividend.

BY ORDER OF THE BOARD



ELIZABETH KYENGO (MRS)
DIRECTOR
28 October 2016